

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

May 2025

Subject CB1 – Business Finance

Time allowed: 3 Hours 15 Minutes

Total Marks: 100

- Q.1)** Which of the following can happen to a listed company if Manager are not using the assets of the business effectively?
- The share price will drop.
 - Takeover Bid as firm become bargain for corporate acquirer.
 - Redundancy for the Manager.
 - All of the above.
 - Only (a) and (b).
- (2)

- Q.2)** There is a potential conflict between the board's duty to maximise shareholder wealth and its ethical duty to other stakeholders. How same can be addressed?
- The board is required to seek the shareholders' guidance with respect to ethical duties.
 - Ethical duties always take priority over the maximisation of shareholder wealth.
 - Shareholder wealth should always be maximised regardless of other impacts.
 - Shareholder wealth may be constrained by ethical duties.
 - There is no ethical duty hence same should be completely ignored.
- (2)

Q.3) Following is Balance Sheet of Sigma Ltd:

Liabilities	Rs.	Assets	Rs.	Rs.
Share Capital	1,00,000	Land and Buildings		80,000
Profit and loss Account	17,000	Plant and Machinery	50,000	
Current Liabilities	40,000	less: Depreciation	15,000	
				35,000
		Stock	21,000	
		Receivables	20,000	
		Bank	1,000	42,000
Total	1,57,000	Total		1,57,000

Additional Information:

- (i) As additional Capital was required by company, it went into re-organisation of capital structure, with only Share Capital remaining the same in Value. Company split of Liability side as percentage of total liabilities per head is mentioned below:

Share Capital	50%
Other Shareholders' Fund	15%
5% Debentures	10%
Current Liabilities	25%

Debentures were issued on 1st April, interest being paid annually on 31st March.

- Quick Asset Ratio was 1:1.
 - Trade Receivables Turnover Period in months is 2 months. No Cash Sales.
 - Return on Net Worth was 10%.
 - Gross Profit was at the Rate of 15% of Selling Price.
 - Stock Turnover was eight times for the year.
- Ignore Taxation.

1) Calculate Value of Total Liabilities after re-organisation of capital structure.

- a) Rs. 1,57,000
 - b) Rs. 2,00,000
 - c) Rs. 2,50,000
 - d) Rs. 4,00,000
 - e) Rs. 1,00,000
- (3)

2) Calculate Value of Fixed Asset and Current Asset (Total Asset = Fixed Asset+ Current Asset) after re-organisation of capital structure.

- a) Fixed Asset: Rs. 1,20,000 and Current Asset: Rs. 80,000
 - b) Fixed Asset: Rs. 1,50,000 and Current Asset: Rs. 50,000
 - c) Fixed Asset: Rs. 2,00,000 and Current Asset: Rs. 2,00,000
 - d) Fixed Asset: Rs. 50,000 and Current Asset: Rs. 50,000
 - e) Fixed Asset: Rs. 1,80,000 and Current Asset: Rs. 20,000
- (4)

3) Calculate Value of Current Liability after re-organisation of capital structure.

- a) Rs. 50,000
 - b) Rs. 40,000
 - c) Rs.1,00,000
 - d) Rs.1,50,000
 - e) Rs. 75,000
- (2)

4) Calculate Current Ratio, after re-organisation of capital structure.

- a) 1 :1
 - b) 8:5
 - c) 5:8
 - d) 8:3
 - e) 3:8
- (2)

5) Given Quick Asset Ratio is 1:1 and using Value of Current Liability calculated in question above, Calculate the value of Stock.

- a) Rs. 20,000
 - b) Rs. 30,000
 - c) Rs. 15,000
 - d) Rs. 12,000
 - e) Rs. 50,000
- (3)

6) Given Trade Receivables of Rs. 40,000, Calculate value of Credit Sales.

- a) Rs. 2,40,000
 - b) Rs. 2,00,000
 - c) Rs. 1,00,000
 - d) Rs. 1,25,000
 - e) Rs. 75,000
- (2)

7) Calculate Value of Gross Profit.

- a) Rs. 66,000
- b) Rs. 50,000
- c) Rs. 36,000
- d) Rs. 14,000
- e) Rs. 10,000

(2)

8) Calculate Net Worth of the Company.

- a) Rs. 1,30,000
- b) Rs. 1,50,000
- c) Rs. 1,00,000
- d) Rs. 2,00,000
- e) Rs. 50,000

(2)

Q.4) What is the weighted average cost of capital for a company if it has the following capital structure: 30% equity, 20% preferred stock, and 50% debt? Its marginal cost of equity is 11%, its marginal cost of preferred stock is 9%, its before-tax cost of debt is 8%, and its marginal tax rate is 40%.

- a) 9.10%
- b) 7.50%
- c) 5.50%
- d) 6.78%
- e) 5.56%

(3)

Q.5) A company requires an initial investment of Rs.40,000. The estimated net Cash Flows are as follows:

Year	1 to 5 years	6	7	8	9	10
Net Cash Flow (In Rs.)	7,000	8,000	10,000	15,000	10,000	4,000

1) Using 10% as Cost of Capital, Calculate Payback Period (Rounded to 1 decimal places) for the investment.

- a) 5.6 years.
- b) 6.3 years
- c) 7.8 years.
- d) 9.5 years.
- e) 5.0 years.

(3)

2) Calculate Net Present Value of the Project.

- a) Rs. 8,064
- b) Rs.18,964
- c) Rs.25,960
- d) Rs. 8,964
- e) Rs. 5,000

(3)

Q.6) A company has Rs. 1,00,000 available for investment and has identified below four projects:

Project	A	B	C	D
Investment (Rs.)	40,000	1,00,000	50,000	60,000
NPV	20,000	35,000	24,000	18,000

What combination from below you will choose to optimize returns from combination of projects within the available funding assuming that Projects are independent and divisible.

- a) Project C and 5/6 th of Project D
 - b) Project A and C with 10% in Project B
 - c) Project B only
 - d) Project A and D
 - e) Project A with 60% of B
- (4)

Q.7) Multiple IRR of projects can be obtained when:

- a) Cashflows in the early years of the project exceed cashflows during the later stages.
 - b) Cashflows reverse their sign during the project.
 - c) Cashflows are uneven.
 - d) None of the above
 - e) All of the above.
- (2)

Q.8) In Country ABC, authorities have imposed restrictions on currency conversion, and this action is not linked to any other external factors. What type of risk does this situation most likely represent?

- a) Currency Risk
 - b) Political Risk
 - c) Counterparty Risk
 - d) Natural Risk
 - e) Economic Risk.
- (2)

Q.9) Capital invested by the owner is shown as a liability in the balance sheet due to which of the following accounting concept?

- a) Separate entity Concept
 - b) Going Concern Concept
 - c) Cost Concept
 - d) Money Measurement Concept
 - e) None of the above
- (3)

Q.10) Which of the following statements are true for Crowdfunding?

- a) Companies that are equity Crowdfunding are not listed on any stock exchange.
 - b) Companies that are equity Crowdfunding are not obligated to comply with perpetual reporting requirements.
 - c) Crowdfunding are not as liquid as IPO.
 - d) All of the above.
 - e) Only (a) and (b)
- (2)

Q.11) Which of the following is not short/ medium term finance?

- a) Loan Capital
- b) Bank Loan
- c) Overdraft

- d) Bill of Exchange
- e) Trade Credit (2)

Q.12) Company S supplies some good to Company C on three month Credit terms. Bill drawn look like this where C has been asked to sign it:

Company S (Address)
Three months hence, pay to me or my order the sum of forty thousand rupees only (Rs. 40,000)
To: Company C (Address)

1) What would such Bill be called?

- a) Bill of exchange
- b) Commercial Paper
- c) Lease Agreement
- d) Overdraft
- e) Bank Loan (2)

2) What is Company S in such a transaction?

- a) Drawee
- b) Acceptor
- c) Drawer
- d) Borrower
- e) Bank (2)

3) Company S endorsed a bill of ₹40,000 received from Company C to its creditor, Company D. On the due date, the bill was dishonoured, and Company D paid ₹600 as noting charges. What is the correct journal entry in the books of Company S?

- a) Debit Company C Rs. 40,600
Credit Company D Rs. 40,600
- b) Debit Company D Rs. 40,600
Credit Company C Rs. 40,600
- c) Debit Company C Rs. 40,600
Debit Notary Charges Rs. 600
Credit Company D Rs. 40,600
- d) Debit Company C Rs. 40,600
Credit Bank Rs. 600
Credit Bills Receivable Rs. 40,000
- e) Debit Company C Rs. 39,400
Debit Notary Charges Rs. 600

Credit Company D Rs. 40,000 (4)

Q.13) A company has decided to obtain a quotation on a stock exchange, which of the following is False?

- a) Same can be used to raise extra capital.
- b) Same can be used for future issuance of capital.
- c) Same can be used to provide exit route for its existing shareholder.
- d) All of the above.
- e) None of the above. (2)

Q.14) Which of the following options can be used to mitigate agency cost?

- a) Investment by investors
- b) Board of Directors appointment
- c) Bank Monitoring
- d) Corporate Law
- e) Stock Option granted to CEOs (2)

Q.15) Which of the following best explains a “comply or explain” approach to codifying the principles of Sound Corporate Governance?

- a) Market forces can encourage Compliance
- b) Stakeholders don't care about Compliance
- c) Directors who do not comply will be fined
- d) All of the above
- e) None of the above (2)

Q.16) What does zero Beta on potential investment would mean?

- a) The investment is high risk.
- b) The investment is risk free.
- c) The investment will make a diversified portfolio less sensitive to moments on the market.
- d) The investment will make a diversified portfolio more sensitive to moments on the market.
- e) The investment is low risk. (2)

Q.17) The equity Share of VCC Ltd. is quoted at Rs. 210. A 3-month Call option is available at a premium of Rs. 6 per share and a 3- month Put Option is available at a premium of Rs. 5 per share. Ascertain the net payoffs to the option holder in following scenarios:

- 1) What would be the price range at which Call option can be gainfully exercised from Option holder perspective?
 - a) Above Rs. 220
 - b) Below Rs. 220
 - c) Above Rs. 204
 - d) Below Rs. 204
 - e) None of the above (2)
- 2) What would be the price range at which Put option can be gainfully exercised from Option holder perspective?
 - a) Above Rs. 220

- b) Below Rs. 220
 - c) Above Rs. 205
 - d) Below Rs. 205
 - e) None of the above
- (2)

Q.18) What is the name of the process in which an issuing house first purchases securities from a company and then directly offers them to institutional investors, such as pension funds and insurance companies, without inviting applications from the general public?

- a) Introductions
 - b) Placing
 - c) Offer for Sale at a fixed price
 - d) Offer for sale by tender
 - e) Offer by subscription.
- (2)

Q.19) Which type of Crowdfunding it will be called if investors buys shares and benefits if business succeeds.

- a) Loan- Based
 - b) Investment-Based
 - c) Donation Based
 - d) Partnership Based
 - e) Reward Based
- (2)

Q.20) Financial derivatives include which of the following?

- a) Stocks
 - b) Bonds
 - c) Forward contracts
 - d) Both (a) and (b) are true
 - e) Both (a) and (c) are true.
- (2)

Q.21) A corporation made up of a number of different Companies that operate in diversified fields what is that called?

- a) Correlation
 - b) Conglomerate
 - c) Agreement
 - d) Association
 - e) None of the above
- (2)

Q.22) What can be motive of divesting money from a project?

- a) Business unit not earning return
 - b) Potential buyer valuing a unit more highly than current owner
 - c) Change in strategy
 - d) Trading in some countries becoming unprofitable
 - e) All of the above
- (2)

Q.23) Investment in Fixed Capital often involves complex choices. What are the choices from following options one has to make?

- a) Alternative Asset Class

- b) Dates of commencement
 - c) Method of Financing
 - d) All of the above
 - e) Only (a) and (b)
- (2)

Q.24) Which of the following situation doesn't explain why PE Ratio of a particular company may stand above average PE ratio of other companies in comparison?

- a) Low historical earnings
 - b) Potential earnings being very high
 - c) Company's share being overvalued
 - d) Risky earnings are expected
 - e) Both (a) and (c)
- (2)

Q.25) XYZ ltd has following Trail Balance whose Debit and Credit is not matching:

Account heads	Debit (Rs.)	Credit (Rs.)
Sales		15,000
Purchases	10,000	
Misc. Expenses	2,500	
Salaries		2,500
Total	12,500	17,500

The difference seems to be due to:

- a) Wrong placing of sales account
 - b) Wrong placing of salaries account
 - c) Wrong placing of Misc. expense account
 - d) Both (a) and (b)
 - e) None of the above
- (2)

Q.26) After preparing trail balance the accountant finds that the total of debit side is short by Rs. 1,500. How will this difference be adjusted?

- a) Credited to Suspense Account
 - b) Debited to Suspense Account
 - c) Adjusted to any of debit balance account
 - d) No Adjustment will be done
 - e) Any of (b) and (c) can be done
- (2)

Q.27) Companies are under increasing pressure to meet and fulfil Environmental and Social Governance Goals (ESG). Which of the following action are relatable to ESG ?

- a) Manage relation with employees, customers , community etc.
 - b) Deal with issues such as shareholder rights
 - c) Perform as stewards of the environment
 - d) All of the above
 - e) Only (a) and (c)
- (2)

Q.28) Which of the following is not an objective of an employee:

- a) Job security

- b) Training
 - c) Ethical marketing of good
 - d) Safe working conditions
 - e) All of the above
- (2)

Q.29) M2M is a real estate company with good real estate holdings. It is looking to expand further and raise capital.

1) Which of the following mode is most suitable/cheapest for it to raise finance?

- a) Debt as it has real estate as assets.
 - b) Interest Rate Swaps
 - c) None of Above
 - d) Both (a) and (b) will be fine
 - e) Derivatives
- (2)

2) Which of the following statements is true if M2M investor is highly Risk averse?

- a) Shouldn't invest in ordinary shares as they offer low expected return relative to other securities.
 - b) Shouldn't invest in ordinary shares because they are last entitlement in the event of winding up of the company.
 - c) Shares offer low initial yield.
 - d) Shareholders have pre-emptive rights.
 - e) All of the above.
- (2)

Q.30) Firm X and Firm Y were previously in direct competition, but now they plan to merge. This combination would be considered as:

- a) Horizontal Merger
 - b) Vertical Merger
 - c) Complementary Merger
 - d) Conglomerate Merger
 - e) Acquisition
- (2)

Q.31) Which of the following statement is true about finance leases?

- a) The lessee takes on most of the risk associated with owing the asset.
 - b) Lease will be for a period similar to likely life of the asset.
 - c) Present value of Payments under agreement is shown in the lessee's balance sheet twice: as an asset and as a corresponding liability.
 - d) Only (a) and (b)
 - e) (a), (b), and (c) all are correct.
- (2)

Q.32) Which of the following would not be financed from Working Capital?

- a) Cash float
 - b) Accounts Receivable
 - c) Credit Sales
 - d) A new personal computer for the office
 - e) Both (a) and (b)
- (2)
